Type MS · Markup: percentage, selling price or cost

Answer 1 of 15 · Question 1 part e · 2 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is B – Income tax**<br><br>A is not correct because sales tax is not a tax<br><br>C is not correct because it is a tax paid by limited businesses<br><br>D is not correct because it is not a tax | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is D – Packaging**<br><br>A is not correct because it is a fixed cost<br><br>B is not correct because it is a fixed cost<br><br>C is not correct because it is a fixed cost | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (iii)** | **AO1 = 1 mark**<br><br>**The only correct answer is C – Focus groups**<br><br>A is not correct because it is a method of secondary market research<br><br>B is not correct because it is a method of secondary market research<br><br>D is not correct because it is a method of secondary market research | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 1 of 15 · Question 1 part e · 2 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A –**<br>**Total cash inflow – total cash outflow**<br><br>B is not correct because it is the incorrect calculation<br><br>C is not correct because it is the incorrect calculation<br><br>D is not correct because it is the incorrect calculation | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (v)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - €86.25**<br><br>A is not correct because this is worked out by multiplying five lessons by the exchange rate of €1.15<br><br>B is not correct because this is the cost of the lesson<br><br>C is not correct because this is worked out by multiplying the cost of each lesson at £15 by five lessons | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is A – A decrease in cash outflows**<br><br>B is not correct because this is not an impact of a decrease in the exchange rate<br><br>C is not correct because this is not an impact of a decrease in the exchange rate<br><br>D is not correct because this is not an impact of a decrease in the exchange rate | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 1 of 15 · Question 1 part e · 2 marks

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| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of fixed costs.<br><br>• Costs that do not vary with the level of output (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for the correct definition of stakeholder.<br><br>• An individual or a group with an interest in the business (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **AO2 = 1 mark**<br><br>Award 1 mark for a valid response that relates to investing in computer technology in the context of the business.<br><br>• *TADS* could improve the quality of the sound that the drums make (1). | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **AO2 = 2 marks**<br><br>(350 – 190) / 190 x 100 (1)<br><br>= 84.21% (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 1 of 15 · Question 1 part e · 2 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **AO1 = 3 marks**<br><br>Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this will affect a business for a maximum of 3 marks.<br><br>• Partners may disagree and fall out (1) meaning decision making can take longer (1) stopping the business moving forward with new ideas (1).<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *TADS* is located in a wealthy area near to people with more disposable income.<br>• *TADS* needs to be far away from competitors in the music school industry.<br><br>**AO3**<br>• It is important to be located close to the target market as parents may not want to travel far for the lessons for their children.<br>• As the service provided is specialised it is best to be far away from other drumming schools as not everyone will want to play them. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |

Type MS · Markup: percentage, selling price or cost

Answer 1 of 15 · Question 1 part e · 2 marks

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| | | |
|---|---|---|
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 2 of 15 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

| | | | |
|---|---|---|---|
| **4 (a)** | **AO2 - 2 marks**<br><br>800/ 2 400 x 100 **(1)**<br>= 33 **(1).** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **4 (b)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *Backyard Shoez* can use the information to work out how much profit they have made from buying and selling shoes and compare it to previous years.<br>• Profitability ratios can help *Backyard Shoez* see if there is a need to take out any short term sources of finance.<br>**AO3**<br>• By using profitability ratios *Backyard Shoez* can see their financial position before they are set to expand to work out whether it is the right business decision to make or not.<br>• Profitability ratios give investors the crucial information they need to weigh up the amount that they will receive from their investment compared to the risk they are going to take. | **(6)** |

Type MS · Markup: percentage, selling price or cost

Answer 2 of 15 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Markup: percentage, selling price or cost

Answer 2 of 15 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

| Question Number | Indicative Content | Mark |
|---|---|---|
| 4 (c) | **AO1 = 3 marks AO2 = 3 marks**<br>**AO3 = 3 marks AO4 = 3 marks**<br><br>**AO1**<br>• Market research can be conducted by the business itself in the form of a questionnaire.<br>• The business could chose to use other methods that suit their business like focus groups.<br>**AO2**<br>• *Backyard Shoez* could question customers in the mall on their needs and wants for shoes.<br>• *Backyard Shoez* will be able to speak directly to customers who buy their shoes who will then feel valued.<br>**AO3**<br>• Therefore, using primary market research *Backyard Shoez* can find out exactly what they need and work out ways of meeting those needs.<br>• Focus groups will give *Backyard Shoez* qualitative data which can help with the design of new shoes.<br>**AO4**<br>• However, it can be time consuming to find out what customers' needs are and if these are already being met by the competitors in the local area then no amount of market research will help them to target their new audience.<br>• However, without doing secondary market research as well then *Backyard Shoez* cannot find out wider research such as information on competitors and suppliers. | **(12)** |

Type MS · Markup: percentage, selling price or cost

Answer 2 of 15 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-4 | • Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1).<br>• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 5 – 8 | • Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1).<br>• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 9 – 12 | • Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1).<br>• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

Type MS · Markup: percentage, selling price or cost

Answer 3 of 15 · Question 1 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**C** – Tertiary | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(ii)** | **AO1 = 1 mark**<br><br>**A** – Rent | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii).<br>An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged. | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO2 = 1 mark**<br><br>**D** – Could charge lower prices | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | **AO1 = 1 mark**<br><br>**B** – Reinvested profit | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO2 = 1 mark**<br><br>**A** – 4.03% | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 3 of 15 · Question 1 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1 (b) | **AO1 = 1 mark**<br>Award 1 mark for correct definition of crowdfunding.<br>• Raising money from many people for a new project via the internet **(1).** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (c) | **AO1 = 1 mark**<br>Award 1 mark for correct definition of branding.<br>• A name/symbol/design that identifies and differentiates a product from other products **(1).** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (d) | **AO2 = 1 mark**<br>Award 1 mark for a correct example of a diseconomy of scale in the context of the business.<br>• Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).**<br>Accept any other appropriate response. | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 3 of 15 · Question 1 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

| | | | |
|---|---|---|---|
| **1 (e)** | **AO2 = 2 mark**<br><br>252 x .17 **(1)** = 42.84<br><br>252 + 42.84 = 294.84 **(1)**<br><br>**OR**<br><br>252 x 1.17 **(1)**<br><br>= 294.84 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |
| **Question Number** | **Answer** | | **Mark** |
| **1 (f)** | **AO1 = 3 marks**<br><br>Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks.<br><br>• An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).**<br><br>Answers that list three advantages with no explanation will get a maximum of 1 mark.<br><br>Accept any other appropriate response. | | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 3 of 15 · Question 1 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• The quality of the T-shirts will be better.<br>• Reduction in costs of making the T-shirts.<br><br>**AO3**<br>• *Yellow*'s reputation will be enhanced leading to higher sales.<br>• There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

## Type MS · Markup: percentage, selling price or cost

### Answer 3 of 15 · Question 1 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 4 of 15 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is D – Personal satisfaction**<br><br>A is not correct because it is a financial business objective<br><br>B is not correct because it is a financial business objective<br><br>C is not correct because it is a financial business objective | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is A - Rising star**<br><br>B is not correct because it is a process carried out for health and safety at work<br><br>C is not correct because it is in relation to branding<br><br>D is not correct because it is part of the product life cycle | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - Bonus**<br><br>A is not correct because it is a financial method of motivation that is not added to a basic wage<br><br>C is not correct because it is a non-financial method of motivation that is not added to a basic wage<br><br>D is not correct because it is a method of payment where workers get paid for each item produced | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 4 of 15 · Question 1 part a.v · 1 mark

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| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A - Growth**<br><br>B is not correct because this is phase 4 on figure 1<br><br>C is not correct because this is phase 1 on figure 1<br><br>D is not correct because this is phase 3 on figure 1 | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 = 1 mark**<br><br>**The only correct answer is B - 150%**<br><br>A is not correct because this is profit per item<br><br>C is not correct because this is selling price per course + cost per item<br><br>D is not correct because this is selling price per course/ cost per item x100 | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - 9 675.90 JPY**<br><br>A is not correct because this is the cost of the course<br><br>B is not correct because this is the exchange rate of the JPY<br><br>C is not correct because this is the cost of the course multiplied by 148 | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 4 of 15 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of capital intensive production.<br><br>• Production methods that make more use of machinery than labour (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of quantitative data.<br><br>• Data that is expressed as number (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **A02 = 1 mark**<br><br>Award 1 mark for a reason why Tom Baker operates his business as a social enterprise.<br><br>• He could use his profits to help his local community (1).<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 4 of 15 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 = 2 marks**<br><br>23 546 x 0.03 = 706.38 (1)<br><br>23 546 + 706.38<br>= 24 252.38 (1)<br><br>**OR**<br><br>23 546 x 103 (1)<br>= 24 252.38 (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **A01 = 3 marks**<br><br>Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks.<br><br>• Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1).<br><br>**NB** Answers that list three methods with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response**. | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 4 of 15 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle.<br>• *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of.<br><br>**AO3**<br>• If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped.<br>• This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Markup: percentage, selling price or cost

### Answer 4 of 15 · Question 1 part a.v · 1 mark

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| Question Number | Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is D - Manufacture of finished goods**<br><br>A is not correct because production does not provide services<br><br>B is not correct because production is not the exchange of goods<br><br>C is not correct because extraction of raw materials is not production | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - The person is given support from an established business**<br><br>A is not correct because a franchise cannot buy supplies from anyone<br><br>C is not correct because a franchise is not guaranteed a set wage<br><br>D is not correct because the profits are not shared in a franchise | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - 50.94%**<br><br>A is not correct because 6.63% calculation incorrect<br><br>B is not correct because 1 600 / 1 060 = 15.09<br><br>C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75% | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A - Higher loan repayments**<br><br>B is not correct because a bank increasing the interest rates does not affect labour costs<br><br>C is not correct because a bank increasing interest rates would possibly reduce net cash flow<br><br>D is not correct because a bank increasing interest rates would possibly reduce sales | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - It is funded by government**<br><br>A is not correct because a public corporation is not owned by the directors<br><br>C is not correct because a public corporation does not aim to maximise profit<br><br>D is not correct because a public corporation is accountable to the public | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is C - £980 000**<br><br>A is not correct because - £40 000 is cash inflow minus outflow<br><br>B is not correct because £40 000 is outflow minus inflow<br><br>D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000 | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of commission.<br><br>• Payment made to an employee linked to the number of sales made (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of revenue.<br><br>• Money from the sale of goods/services (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **A02 = 1 mark**<br><br>Award 1 mark for a valid reason for having a short span of control in the context of the business.<br><br>• This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1).<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 = 2 marks**<br><br>92 322 – 85 083 = 7 239 (1)<br><br>7 239/85 038 = 8.51% (1) | Award 1 mark for substituting numbers into formula correctly.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **A01 = 3 marks**<br><br>Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1).<br><br>Answers that list three reasons with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response**. | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• It differentiates its football products from those of its competitors.<br>• It helps customers to recognise its own logo that appears on all its products.<br><br>**AO3**<br>• Advertising the footballs is easier because customers are aware of the brand name and the quality of products.<br>• Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo. | **(6)** |

Type MS · Markup: percentage, selling price or cost

Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Markup: percentage, selling price or cost

### Answer 5 of 15 · Question 1 part a.iii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.iii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 1 of 7 · find part a.vi in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | AO1 - 1 mark<br><br>**1 (a) (i) The only correct answer is C**<br><br>**A** is not correct because personal savings are an internal source of finance<br><br>**B** is not correct because retained profit is an internal source of finance<br><br>**D** is not correct because selling assets is an internal source of finance | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (ii)** | AO1 - 1 mark<br><br>**1 (a) (ii) The only correct answer is B**<br><br>**A** is not correct because penetration pricing is where a business sets a low price for a new product<br><br>**C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors<br><br>**D** is not correct because promotional pricing is where a business lowers the price of a product for a short time | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 2 of 7 · find part a.vi in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | AO1 - 1 mark<br><br>**1 (a) (iii) The only correct answer is A**<br><br>**B** is not correct because discrimination by ability is not protected by legislation<br><br>**C** is not correct because social discrimination is not protected by legislation<br><br>**D** is not correct because ethical discrimination is not protected by legislation | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iv)** | AO1 - 1 mark<br><br>**1 (a) (iv) The only correct answer is D**<br><br>**A** is not correct because a curriculum vitae would be sent to the employer<br><br>**B** is not correct because a letter of application would be sent to the employer<br><br>**C** is not correct because a newspaper advertisement would be used to advertise the job vacancy | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | AO2 - 1 mark<br><br>**1 (a) (v) The only correct answer is B**<br><br>**A** is not correct because it is the exchange rate in euros<br><br>**C** is not correct because it is the cost of 1kg of dried fruits<br><br>**D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 3 of 7 · find part a.vi in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (vi)** | AO2 - 1 mark<br><br>**1 (a) (vi) The only correct answer is C**<br><br>**A** is not correct because it is the cost of a jar of honey formatted as a percentage<br><br>**B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage<br><br>**D** is not correct because it is double the mark up of a jar of honey | **(1)** |

| Question Number | Define the term profit<br><br>Answer | Mark |
|---|---|---|
| **1 (b)** | AO1 - 1 mark<br><br>Award 1 mark for a correct definition of profit.<br><br>• Total revenue – total costs (1). | **(1)** |

| Question Number | Define the term non-current liabilities<br><br>Answer | Mark |
|---|---|---|
| **1 (c)** | AO1 - 1 mark<br><br>Award 1 mark for a correct definition of non-current liabilities.<br><br>• Debts that are payable after 12 months (1). | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 4 of 7 · find part a.vi in this mark scheme extract

| Question Number | State one reason why NOF segments its target market by income<br><br>Answer | Mark |
|---|---|---|
| **1 (d)** | A02 - 1 mark<br><br>Award 1 mark for a reason why NOF segments its target market by income.<br><br>• NOF can sell higher priced organic products to people staying at the farm (1).<br><br>Accept any other appropriate response. | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | A02 - 2 marks<br><br>90 – 10 = 80 (1)<br><br>80/160 x 100 = 50 (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part a.vi in this mark scheme extract

| Question Number | Explain one strategy a small business might use to extend the product life cycle of one of its products<br><br>Answer | Mark |
|---|---|---|
| **1 (f)** | A01 - 3 marks<br><br>Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks.<br><br>• Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1).<br><br>NB Answers that list three strategies with no explanation will get a maximum of 1 mark.<br><br>Accept any other appropriate response. | **(3)** |

| Question Number | Analyse the importance of marketing to NOF<br><br>Indicative content | Mark |
|---|---|---|
| **1 (g)** | AO2 = 3 marks AO3 = 3 marks<br><br>AO2<br>• Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want.<br>• Marketing can be used to make customers aware of its organic honey.<br><br>AO3<br>• This may lead to increased bookings for the overnight accommodation.<br>• Sales of organic honey may increase. | **(6)** |

## Type MS · Markup: percentage, selling price or cost

### Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 6 of 7 · find part a.vi in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Markup: percentage, selling price or cost

### Answer 6 of 15 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 01 · extract 7 of 7 · find part a.vi in this mark scheme extract

| Question Number | State one external factor that could cause a change in demand for NOF products<br><br>Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 7 of 15 · Question 1 part a.v · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (i) | **AO1 - 1 mark**<br><br>**D** Human Resources | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (ii) | **AO1 - 1 mark**<br><br>**B** Selling assets | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (iii) | **AO1 - 1 mark**<br><br>**C** Cost of sales | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**A** Taxation | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**C** 250% | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**D** S$42.08 | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of diseconomies of scale.<br><br>• An increase in average cost per units **(1)**. | **(1)** |



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Type MS · Markup: percentage, selling price or cost

Answer 7 of 15 · Question 1 part a.v · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of job production.<br><br>• A method of production that involves completing one unit of output at a time **(1).** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br>Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business.<br><br>• Employees could be given commission for any art materials they sell **(1).**<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| 1 (e) | **A02 - 2 marks**<br><br>285 x 0.12 = 34.20 **(1)**<br><br>285 – 34.20 = 250.80 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |



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Type MS · Markup: percentage, selling price or cost

Answer 7 of 15 · Question 1 part a.v · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1 (f) | **A01 - 3 marks**<br><br>Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks.<br><br>• Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).**<br><br>**NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions.<br>• The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out.<br><br>**AO3**<br>• *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost.<br>• This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers. | **(6)** |



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Type MS · Markup: percentage, selling price or cost

Answer 7 of 15 · Question 1 part a.v · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a.v in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |



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## Type MS · Markup: percentage, selling price or cost

### Answer 7 of 15 · Question 1 part a.v · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.vi in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Pay suppliers later**<br><br>**A –** this is not correct because it will decrease cash-flow<br>**B** – this is not correct because it could increase cash-flow in the long-term but not immediately<br>**C** – this is not correct because it will decrease cash-flow | **(1)** |

| **Question Number** | Which **one** of the following is an example of primary market research?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Postal survey**<br><br>**A –** this is not correct because it is an example of secondary market research<br>**C –** this is not correct because it is an example of secondary market research<br>**D** - this is not correct as it is an example of secondary market research | **(1)** |

| **Question Number** | Which **one** of the following is a fixed cost?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A – Rent**<br><br>**B** – this is not correct because it is a variable cost<br>**C** – this is not correct because it is a variable cost<br>**D** – this is not correct because it is a variable cost | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

| Question Number | Which **one** of the following is used to calculate the break-even point?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is D – Fixed costs ÷ (selling price – variable costs)**<br><br>**A –** this is not correct because it is does not calculate the break-even point<br>**B –** this is not correct because it is does not calculate the break-even point<br>**D –** this is not correct because it is does not calculate the break-even point | **(1)** |

| Question Number | Which **one** of the following is the total cost in euros of buying 2 weeks of salmon?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is D – €448.58**<br><br>**A –** this is not correct because it is the cost of 10kgs of salmon in pounds<br>**B –** this is not correct because it is the cost of 10kgs of salmon in euros<br>**C –** this is not correct because it is the cost of 20kgs of salmon in pounds | **(1)** |

| Question Number | Which **one** of the following is the markup of prawns?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C – 19.1%**<br><br>**A –** this is not correct because it is the cost of a kilogram of prawns as a percentage<br>**B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage<br>**D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.vi in this mark scheme extract

| Question Number | Define the term **job production**<br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of job production.<br><br>• When an item is made and finished before the next one is started **(1)** | **(1)** |

| Question Number | Define the term **diseconomies of scale**<br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of diseconomies of scale.<br><br>• Rising average costs as units increase **(1)** | **(1)** |

| Question Number | State **one** method *Can Culleretes* could use to collect quantitative market research.<br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.*<br><br>• *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)**<br><br>**NB:** Do not accept a method that is not in the context of *Can Culleretes.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.vi in this mark scheme extract

| Question Number | Calculate the net cash flow for *Can Culleretes*.<br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>4 600 – 3 000 **(1)**<br><br>= 1 600 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** benefit to a business of improving communication with its employees.<br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.vi in this mark scheme extract

| Question Number | Analyse the likely impact on productivity if *Can Culleretes* launch this app.<br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• The app means waiters do not have to take orders at the customer's table<br>• As soon as customers place the order the kitchen will receive the order immediately<br>**AO3**<br>• This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders<br>• This will increase productivity as it will make for a more efficient ordering system for the restaurant | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Markup: percentage, selling price or cost

### Answer 8 of 15 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.vi in this mark scheme extract

| **Question Number** | State **one** impact that government legislation could have on *Can Culleretes*.<br>**Answer** | **Mark** |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part a.v in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Niche marketing**<br><br>**A –** this is not correct because it is a form of promotion to the whole market<br>**C** – this is not correct because it is a percentage that the business has of a specific market<br>**D** – this is not correct because it is the activity of gathering information about conditions affecting a market | **(1)** |

| **Question Number** | Which **one** of the following is a financial aim for a business?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A - Survival**<br><br>**B –** this is not correct because it is a non-financial aim<br>**C –** this is not correct because it is a non-financial aim<br>**D –** this is not correct because it is a non-financial aim | **(1)** |

| **Question Number** | Which **one** of the following is a variable cost?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Raw materials**<br><br>**A** – this is not correct because it is a fixed cost<br>**B** – this is not correct because it is a fixed cost<br>**C** – this is not correct because it is a fixed cost | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part a.v in this mark scheme extract

| Question Number | Which **one** of the following is a role of the production function?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is B – Quality control**<br><br>**A –** this is not correct because it is a role of the human resources function<br>**C –** this is not correct because it is a role of the marketing function<br>**D –** this is not correct because it is a role of the human resources function | **(1)** |

| Question Number | Which **one** of the following is the markup on the packs of balloons?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is D – 134.72 %**<br><br>**A –** this is not correct because it is the cost of the balloon pack<br>**B –** this is not correct because it is the profit of the balloon pack<br>**C –** this is not correct because it is the profit x cost of the balloon pack | **(1)** |

| Question Number | Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is D – 206.18 MYR**<br><br>**A –** this is not correct because it is the price of one balloon pack<br>**B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05<br>**C –** this is not correct because it is the price of four balloon packs | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part a.v in this mark scheme extract

| Question Number | Define the term **primary sector.**<br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of primary sector.<br>• The extraction of raw materials from the earth **(1)**. | **(1)** |

| Question Number | Define the term **diseconomies of scale.**<br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of diseconomies of scale.<br>• When the average unit cost increases due to the growth of a business **(1).** | **(1)** |

| Question Number | State **one** factor *TBTS* should consider when selecting its manufacturers.<br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br>Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*.<br>• *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**.<br>**NB** Do not accept a factor that is not in the context of *TBTS*<br>**Accept any other appropriate response.** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part a.v in this mark scheme extract

| Question Number | Calculate the total costs for *TBTS*.<br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | Calculate the total costs for *TBTS*.<br><br>**A02 - 2 marks**<br><br>555.31 + (0.93 x 160) **(1)**<br><br>= 704.11 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** advantage of being a sole trader.<br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks.<br><br>• Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part a.v in this mark scheme extract

| Question Number | Analyse the likely impact of external factors on business decisions made by *TBTS*.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys<br>• Technological advances could increase the cost of buying or the price of a range of toys<br>**AO3**<br>• This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods<br>• If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Markup: percentage, selling price or cost

### Answer 9 of 15 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part a.v in this mark scheme extract

| Question Number | State **one** way *TBTS* can measure its success as a business<br>**Answer** | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**C** Cash flow<br><br>A – a mortgage is a loan<br>B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same<br>D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost | **(1)** |

| **Question Number** | Which **one** of the following could a person complete when applying for a job?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>**A** Application form<br><br>B – Shortlisting is the process of deciding which applicants to interview<br>C – Job description gives of the job for which applicants can apply<br>D Person specification gives details of the type of person required for the job | **(1)** |

| **Question Number** | Which **one** of the following is the correct statement?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>**C** Loss of 550 000<br><br>A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs<br>B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs<br>D – Profit is incorrect as this calculates revenue minus variable costs | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

| Question Number | Which **one** of the following is a benefit of being a franchisee?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>**B** Selling an established brand<br><br>A – You cannot choose your own suppliers as a franchise<br>C – You would still have to pay interest on any bank loans whether a franchisee or not<br>D – You do not have complete control of the business if you are a franchisee the franchisor does | **(1)** |

| Question Number | Which **one** of the following is the percentage increase from 2019 to 2020?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**D** 6%<br><br>A – is 2.31 ÷ 38.5 = 0.06%<br>B – is 40.81 ÷ 38.5 = 1.06%<br>C – is 40.81 – 38.5 = 2.31% | **(1)** |

| Question Number | Which **one** of the following functional areas could help employees who had a problem with their wage?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(vi)** | **AO1 - 1 mark**<br><br>**B** Finance<br><br>A – Production is making goods<br>C – Marketing is about identifying, anticipating and satisfying customer requirements profitably<br>D – Sales is selling the goods to customers | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

| Question Number | Define the term **break-even**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **break-even**.<br><br>• When costs and revenue are the same **(1)**<br>• When total costs are the same as total sales **(1)** | **(1)** |

| Question Number | Define the term **public corporation**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **public corporation**<br><br>• Owned by the state/central government **(1)** | **(1)** |

| Question Number | State **one** benefit for *LEGO* of having a short span of control.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br><br>Award 1 mark for a valid benefit for having a short span of control in the context of the business.<br><br>• By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)**<br>• Allows all 18,000 world-wide employees to make suggestions about the new products **(1)**<br><br>**NB** Do not accept a benefit that is not in the context of LEGO.<br><br>**Accept any other appropriate response** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Calculate, to two decimal places, the cost of making the pineapple pencil holders.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>148 ÷ 115 = 1.287 **(1)**<br><br>1.287 × 100 = 128.70 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** disadvantage of using questionnaires as a method of market research.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)**<br><br>• If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)**<br><br>NB No marks are awarded for a definition.<br><br>Answers that list three disadvantages with no explanation will get a 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

| Question Number | Analyse the benefits for *LEGO* of being a multinational business.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• *LEGO* can sell its Harry Potter toys around the world<br>• The arts and craft materials can be produced in the most cost-effective location for *LEGO*<br><br>**AO3**<br>• This means that *LEGO*'s global market will increase compared to rivals<br>• Thus reducing the average total cost and leading to a larger profit margin | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Markup: percentage, selling price or cost

Answer 10 of 15 · Question 1 part e · 2 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

| Question Number | State **one** financial objective for *LEGO*.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part a.vi in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – The lowest amount a business can legally pay its employees**<br><br>**A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary<br>**C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime<br>**D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus | **(1)** |

| **Question Number** | Which **one** of the following describes the cash cow category in the Boston matrix?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is C – Low market growth, high market share**<br><br>**A –** High market growth, high market share – this is not correct as it is the star category<br>**B –** High market growth, low market share - this is not correct as it is the question mark category<br>**D –** Low market growth, low market share - this is not correct as it is the dog category | **(1)** |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

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| Question Number | Which **one** of the following would give a business a negative cash flow?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Cash outflow is greater than cash inflow**<br><br>**A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow<br>**B** – Costs are greater than profits – this is not correct as it would give the business a loss<br>**C** – Profits are greater than costs – this is not correct as it would give the business profit | **(1)** |

| Question Number | Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 - 1 mark**<br><br>**The only correct answer is A – Job description**<br><br>**B –** Person specification - this is not correct as it is a document outlining person attributes<br>**C –** Application form – this is not correct as it is a form potential employees fill in<br>**D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee | **(1)** |

| Question Number | Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**The only correct answer is C – €317.40**<br><br>**A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week<br>**B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds<br>**D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros | **(1)** |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part a.vi in this mark scheme extract

| Question Number | Which **one** of the following is the markup for a selection of traditional flowers?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO2 - 1 mark**<br><br>**The only correct answer is A – 54.76%**<br><br>**B –** 64.62% – this is not the correct answer as it is 42/65 x100<br>**C –** 182.61% – this is not the correct answer as it is 42/23 x100<br>**D –** 282.61% – this is not the correct answer as it is 65/23 x100 | **(1)** |

| Question Number | Define the term **economies of scale.**<br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **economies of scale.**<br><br>• A fall in average costs as output increases **(1)** | **(1)** |

| Question Number | Define the term **stakeholder.**<br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **stakeholder**.<br><br>• Individuals or groups with an interest in the operation of a business **(1)** | **(1)** |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part a.vi in this mark scheme extract

| Question Number | State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.<br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business.<br><br>• *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)**<br><br>**NB** Do not accept a benefit that is not in the context of *Aude Rose*.<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even.<br>**Answer** | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>50 000/(50 – 10) **(1)**<br><br>= 1 250 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part a.vi in this mark scheme extract

| Question Number | Explain **one** reason why a business might fail. **Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)**<br><br>**NB** Answers that list three reasons with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part a.vi in this mark scheme extract

| Question Number | Analyse the importance to Aude Anglaret of motivating her employees.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• If the florists are motivated, they could produce more bunches of flowers for sale to customers<br>• The florists are more likely to stay in the flower shop if they are paid more<br>**AO3**<br>• Increased productivity could lead to greater outputs and more sales<br>• Employees who stay will reduce the cost of recruitment and training of new employees | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |



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Type MS · Markup: percentage, selling price or cost

Answer 11 of 15 · Question 1 part a.vi · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part a.vi in this mark scheme extract

| Question Number | State **one** fringe benefit *Aude Rose* could offer its employees.<br>**Answer** | Mark |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part a.iv in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>The only correct answer is **C** Survival<br><br>**A** - is incorrect as challenge is a non-financial objective<br>**B** - is incorrect as social objectives is a non-financial objective<br>**D** - is incorrect as personal satisfaction is a non-financial objective | **(1)** |

| **Question Number** | Which **one** of the following is an advantage to a business of using venture capital?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>The only correct answer is **D** It can receive expert advice<br><br>**A** - is incorrect as venture capital increases access to other sources of finance<br>**B** - is incorrect as venture capital does not keep ownership within the business<br>**C** - is incorrect as public relations is not affected by venture capital | **(1)** |

| **Question Number** | Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>The only correct answer is **D** 129 955.00 SEK<br><br>**A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK<br>**B** – is incorrect 19.75 x 1 000 ÷ 6.58<br>= 3 001.52 SEK<br>**C** - is incorrect 19.75 x 1 000 = 19 750 SEK | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.iv in this mark scheme extract

| Question Number | Which **one** of the following is the correct markup?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>The only correct answer is **C** 15.79**%**<br><br>**A** is incorrect because 4 400 ÷ 3 800 = 1.16%<br>**B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64%<br>**D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79% | **(1)** |

| Question Number | Which **one** of the following is Phase 3 of the product life cycle?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>The only correct answer is **D** Maturity<br><br>**A** is incorrect because phase 4 is decline<br>**B** is incorrect because phase 2 is growth<br>**C** is incorrect because phase 1 is introduction | **(1)** |

| Question Number | Which **one** of the following are equal in a break-even graph?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO1 - 1 mark**<br><br>The only correct answer is **D** Total costs and revenue<br><br>**A** is incorrect because fixed and variable costs do not indicate the revenue<br>**B** is incorrect because fixed costs and revenue do not take into account variable costs<br>**C** is incorrect because total costs and fixed costs do not take into account revenue | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.iv in this mark scheme extract

| Question Number | Define the term **person specification.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **person specification.**<br><br>• Details of the qualifications, experience in the person appointed **(1)** | **(1)** |

| Question Number | Define the term **quality control.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **quality control.**<br><br>• A product or service that meets the standard set by the business **(1)** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.iv in this mark scheme extract

| Question Number | State **one** reason why *IKEA* provides induction training for new employees.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business.<br><br>• New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)**<br><br>• Staff will know how to show customers how the flat packs for sale are assembled **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *IKEA.*<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate to 2 decimal places the gross profit margin for 2020.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>11 725/37 368 x 100 **(1)**<br><br>= 31.38 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.iv in this mark scheme extract

| Question Number | Explain **one** reason why businesses want to use resources effectively in manufacturing.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)**<br><br>• If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list two reasons with no explanation will gain 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.iv in this mark scheme extract

| Question Number | Analyse the benefits to *IKEA* of all its stores being franchises.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world<br>• All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture<br><br>**AO3**<br>• *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business<br>• This allows *IKEA* to gain revenue from every franchised store making it more successful | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Markup: percentage, selling price or cost

Answer 12 of 15 · Question 1 part a.iv · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.iv in this mark scheme extract

| **Question Number** | State **one** reason why *IKEA* would employ temporary staff.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C – Retained profit**<br><br>**A** is not the correct answer as an overdraft is an external source of finance<br>**B** is not the correct answer as crowdfunding is an external source of finance<br>**D** is not correct answer as share capital is an external source of finance | **(1)** |

| **Question Number** | Which **one** of the following is a result of average costs rising in a large business?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – diseconomies of scale**<br><br>**A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size<br>**C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate<br>**D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate | **(1)** |

| **Question Number** | Which **one** of the following is the money left after all costs have been subtracted from revenue?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D - Profit**<br><br>**A** is not the correct answer as gross profit is the profit after the cost of producing the product<br>**B** is not the correct answer as inflows are payments into a business<br>**C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

| Question Number | Which **one** of the following is a debt payable after 12 months?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 - 1 mark**<br><br>**The only correct answer is A – non-current liability**<br><br>**B** is not the correct answer as a current liability is a debt that is payable within 12 months<br>**C** is not the correct answer as a non-current asset is one that lasts for more than one year<br>**D** is not the correct answer as a current asset is likely to be turned into cash within a year | **(1)** |

| Question Number | Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**The only correct answer is C – 107%**<br><br>**A** is not the correct answer as 48% is 2.56/5.30 x100<br>**B** is not the correct answer as 93% is 2.56/2.74 x100<br>**D** is not the correct answer as 207% is 5.30/2.56 x100 | **(1)** |

| Question Number | Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?<br>**Answer** | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO2 - 1 mark**<br><br>**The only correct answer is B - €48.81**<br><br>**A** is not the correct answer as €59.52 is 50kg / £0.84<br><br>**C** is not the correct answer as €42.00 is 50kg x £0.84<br><br>**D** is not the correct answer as €41.00 is 50kg x £0.82 | **(1)** |

| Question Number | Define the term **variable cost**<br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **variable cost.**<br><br>• A cost that changes directly with output **(1)** | **(1)** |

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

| Question Number | Define the term **niche marketing.** **Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **niche marketing**.<br>• Targeting a smaller segment of a market **(1)** | **(1)** |

| Question Number | State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business.<br>• They can change their menu to suit people becoming more health conscious **(1)**<br>**NB** Do not accept a way that is not in the context of *Café Pinch.*<br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate what a customer would pay for these three items after the discount is applied. **Answer** | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br>14.00 x 0.05 = 0.70 **(1)**<br>14.00 – 0.70 = 13.30 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

| Question Number | Explain **one** advantage to a start-up business of using a venture capitalist.<br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks.<br><br>• Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

| Question Number | Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• If waiters serving customers are motivated, they will provide a good service when serving food and drink<br>• If the chefs are motivated, they can come up with new dishes to enhance the menu<br>**AO3**<br>• If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business<br>• This could lead to staff retention and lower recruitment costs | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · Markup: percentage, selling price or cost

Answer 13 of 15 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

| **Question Number** | State **one** reason why *Café Pinch* might set business objectives.<br>**Answer** | **Mark** |
|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 14 of 15 · Question 3 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **person specification.**<br><br>• A profile showing the characteristics of a person needed to do a particular job **(1)** | **(1)** |

| **Q. No.** | Outline **one** reason why branding is important to *Jimmy Choo*.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3 (b)** | **A02 - 2 marks**<br><br>Award 1 mark for identifying a reason why branding is important, plus 1 further mark for linking it to the context of the question.<br><br>• Branding ensures that customers recognise the JC logo on its handbags when it is sold **(1)** this differentiates *Jimmy Choo* from its competitors **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Jimmy Choo*.<br><br>**Accept any other appropriate response.** | **(2)** |

| **Q. No.** | Calculate, to **two** decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold.<br><br>**Answer** | **Additional Guidance** | **Mark** |
|---|---|---|---|
| **3 (c)** | **A02 - 2 marks**<br><br>2 450 – 1 590 = 860 **(1)**<br><br>860/1 590 x 100 = 54.09 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct answer with no working. | **(2)** |

Type MS · Markup: percentage, selling price or cost

Answer 14 of 15 · Question 3 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

| Q. No. | Analyse why *Jimmy Choo* asks all candidates applying for a vacancy to complete and application form.<br><br>**Indicative content** | Mark |
|---|---|---|
| 3 (d) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• A completed application form gives *Jimmy Choo* important details of each applicant, such as address and previous employments<br><br>• If an applicant is applying for the role of sales manager, they can include all their experience of working and selling handbags<br>**AO3**<br>• This means that *Jimmy Choo* can have the same data from each applicant to make a comparison<br><br>• *Jimmy Choo* can then compare the application forms to see which applicant would be more suited to the vacancy and call them for interview | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)**<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)** |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)**<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)** |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)**<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)** |

Type MS · Markup: percentage, selling price or cost

Answer 14 of 15 · Question 3 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

| Q. No. | **Option 1:** induction training<br><br>**Option 2:** off-the-job training.<br><br>Justify which **one** of these two options *Jimmy Choo* should choose.<br><br>**Indicative content** | Mark |
|---|---|---|
| 3 (e) | **AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – If all employees have induction training it gives them the opportunity to become familiar with their working environment in the production of shoes<br><br>• **Option 2** – By training employees off site they are trained by experts in the various areas such as well as making the handbags and shoes but also how to display them<br><br>**AO3**<br>• **Option 1** – This training enables them to feel part of the business and have a better understanding of how the business works<br><br>• **Option 2** – Employees can gain up to date skills from experts, resulting in fewer errors when they commence making handbags<br>**AO4**<br>• **Option 1** – However, induction training does not always benefit because they may not work in that specific department, they had their induction training in<br><br>• **Option 2** – However, the cost of training an employee off-site can be expensive, and the training is not guaranteed that it will match the job | **(9)** |

Type MS · Markup: percentage, selling price or cost

Answer 14 of 15 · Question 3 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

## Type MS · Markup: percentage, selling price or cost

Answer 14 of 15 · Question 3 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

| Q. No. | Calculate, to **two** decimal places, the percentage of *Jimmy Choo* shops in the UK.<br><br>**Answer** | Additional Guidance | Mark |
|---|---|---|---|

Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

2025 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

| | | |
|---|---|---|
| 3 (a) | **AO1 – 1 mark**<br><br>Award 1 mark for a correct definition of **exporter.**<br><br>• A business/individual that sells products/services to another country | **(1)** |

| Q. No. | Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.<br><br>**Answer** | Mark |
|---|---|---|
| 3 (b) | **AO2 – 2 marks**<br><br>Award 2 marks for linked points outlining an advantage to *Samsung* of using flow production when manufacturing its products.<br><br>Award a maximum of 1 mark if points are not linked.<br><br>• *Samsung* can produce a large number of smartphones on its production lines **(1)** allowing *Samsung* to lower its unit costs **(1)**<br><br>**NB** To award 2 marks there must be linked points **and** evidence of application.<br><br>**Accept any other appropriate response.** | **(2)** |

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Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

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| Q. No. | Calculate the selling price of the laptop. You are advised to show your workings.<br><br>**Answer** | **Additional Guidance** | **Mark** |
|---|---|---|---|
| 3 (c) | **AO2 – 2 marks**<br><br>Award 2 marks for the correct answer<br><br>650 000 KRW **(2)**<br><br>**OR** award 1 mark for workings if final answer is incorrect<br><br>520 000 x 25% = 130 000 KRW **(1)** | Award full marks for correct answer with no working.<br><br>Award 1 mark for correctly substituting numbers into formula. | **(2)** |

| Q. No. | Analyse why profit is important to *Samsung*.<br><br>**Indicative content** | **Mark** |
|---|---|---|
| 3 (d) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *Samsung* invests large amount of funding to design and develop innovative electronic products such as smartphones<br>• *Samsung* is a public limited company and is currently the leading manufacturer of TV's<br><br>**AO3**<br>• High levels of profit will allow *Samsung* to reinvest its profits into new technology to compete in the market<br>• High levels of profit may attract further funds from investors who may be enticed by the possibility of high returns on their investments | **(6)** |

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Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)**<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)** |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)**<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)** |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)** |

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Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

2025 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

| Q. No. | **Option 1:** Just in time (JIT)<br><br>**Option 2:** Kaizen<br><br>**(e)** Justify which **one** of these two options *Samsung* should choose to minimise costs.<br><br>**Indicative content** | Mark |
|---|---|---|
| 3 (e) | **AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – JIT will allow *Samsung* to receive delivery of electronic parts for its manufacture of laptops as required on the assembly line<br>• **Option 2** – Kaizen will encourage a culture of continuous improvement to may help *Samsung* reduce waste when manufacturing its laptops and TV's<br>**AO3**<br>• **Option 1** – JIT will reduce the storage costs of its electronic parts if supplies are delivered only when required rather than having to store them in a warehouse<br>• **Option 2** – Reduced waste in the factory will help keep costs of laptops low which will help them compete with businesses such as *Apple*<br>**AO4**<br>• **Option 1** – However, if suppliers deliver in smaller batches this may increase the delivery cost of materials which will increase the total cost of production<br>• **Option 2** – However, introducing Kaizen will take time and require training of employees which may increase costs for *Samsung* in the short term | **(9)** |

Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

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Type MS · Markup: percentage, selling price or cost

Answer 15 of 15 · Question 3 part c · 2 marks

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| Q. No. | Calculate, to **two** decimal places, the operating profit margin You are advised to show your workings.<br>**Answer** | Additional Guidance | Mark |
|---|---|---|---|